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The World Bank

RESTRUCTURING PAPER

ON A

PROPOSED PROJECT RESTRUCTURING

OF

PARAGUAY ROAD MAINTENANCE PROJECT
IBRD LOAN 7406-PA

August 24, 2006

TO THE

REPUBLIC OF PARAGUAY

March 25, 2013

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Reallocation of Loan Proceeds

PARAGUAY — ROAD MAINTENANCE PROJECT
P082026
LOAN 7406-PA

Restructuring Paper

1. Proceeds for Paraguay, Road Maintenance Project, IBRD Loan 7406-PA, will be reallocated as follows (in US$).

Category	Amount of the Loan Allocated (expressed in USD)		Percentage of Expenditures to be financed
	Current	Revised	
(1) Goods (other than non-durable goods as covered under Category 4 below)	2,540,000	2,540,000	70%
(2) Works (including non-consultant services)	52,400,000	63,030,000	70%
(3) Consultants' services (including audits) and training	9,580,000	7,380,000	70%
(4) Operating Costs	400,000	1,050,000	70%
(5) Unallocated	9,080,000	-	
TOTAL AMOUNT	**74,000,000**	**74,000,000**	-

2. A US$74 million loan was approved by the Bank for the Paraguay Road Maintenance Project on August 24, 2006. The Loan Agreement was signed on October 13, 2006 and became effective on January 3, 2008. In June 2012, the Borrower was granted an eighteen month extension of the closing date to February 28, 2014.

3. The Borrower has requested the reallocation of loan proceeds in order to finance components that will allow the project to meets its development objectives. These works include highway works, improvement of tolls and implementing a traffic survey system.

4. The reallocation envisions transferring US$ 2,200,000 from Category 3 Consulting Services and Training, and US$9,080,000 from Category 5 Contingencies to

Category 2 Works in the amount of $10,630,000 and to Category 4 Operational Costs in the amount of US$650,000.